

Unit 3

Strategy Design

3 Libraries · 15 framework sheets

SLIBRARY 7 · Strategic Analysis

5 sheets

- | | |
|---------------------|---------------|
| 1 Porter's 5 Forces | 4 SWOT Recast |
| 2 VRIO | 5 Value Chain |
| 3 PESTEL | |

SLIBRARY 8 · Blue Ocean Toolkit

5 sheets

- | | |
|-----------------------|---------------------|
| 1 Strategy Canvas | 4 Value Curve |
| 2 ERRC Grid | 5 6 Paths Framework |
| 3 4 Actions Framework | |

SLIBRARY 9 · Business Model Canvas

5 sheets

- | | |
|----------------------------|---------------------------|
| 1 BMC 9 Blocks | 4 Platform Business Model |
| 2 Value Proposition Canvas | 5 Revenue Model Typology |
| 3 BMC Patterns | |

Porter's 5 Forces

SLIBRARY 7 · SHEET 1 / 5

Industry structure read in one diagram

PROFESSIONAL DEFINITION

Michael Porter's Five Forces model frames industry attractiveness as the joint outcome of five competitive pressures: rivalry among existing competitors, threat of new entrants, threat of substitutes, bargaining power of suppliers, and bargaining power of buyers. Strong forces compress profitability; weak forces preserve it. The model shifted strategy from firm-level positioning to industry-structure analysis, becoming the most-cited strategy framework of the late twentieth century (Porter, 1979, 1980).

WHO DEVELOPED IT

Michael E. Porter, Harvard Business School professor, in his 1979 *Harvard Business Review* article and 1980 book *Competitive Strategy*. Built on Joe S. Bain's (1956) industrial-organisation economics tradition.

WHY IT WAS DEVELOPED

Strategy in the 1970s was dominated by firm-level SWOT and BCG-portfolio thinking. Porter argued that a firm's profitability was overwhelmingly determined by the structure of its industry — and that strategy needed to start with industry diagnosis, not internal capability inventory.

FIGURE 1 · FIVE FORCES

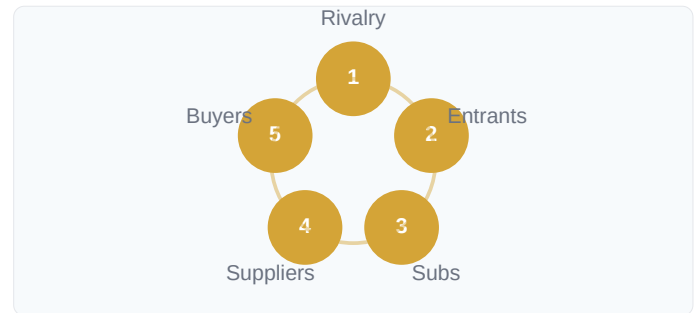


Figure 1. Five pressures jointly determine industry profitability. Adapted from Porter (1979).

HOW IT IS USED

Map each of the five forces for the industry: assess intensity (high/medium/low), identify drivers, predict trajectory. Strategy choices position the firm to weaken the forces it can influence and avoid those it cannot.

WHEN IT IS USED

Use in industry-attractiveness assessment, in market-entry decisions, in M&A; target screening, and as the opening lens of any strategy review.

BY WHOM IT IS USED

Strategy consultants, corporate-development teams, MBA students, private-equity due-diligence teams, and senior leaders setting multi-year direction.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Bain's (1956) structure-conduct-performance framework was an academic tool, Porter's contribution was a teachable five-force mnemonic that practitioners could apply. Building on Mason's (1939) industrial-organisation tradition, it translated economics into management, becoming the canonical strategy lens.

RELATED FRAMEWORKS IN THIS COURSE

VRIO · Slibrary 7

PESTEL · Slibrary 7

SWOT Recast · Slibrary 7

Value Chain · Slibrary 7

SOURCES (HARVARD REFERENCING STYLE)

- Porter, M.E. (1979) 'How Competitive Forces Shape Strategy', *Harvard Business Review*, 57(2), pp. 137–145.
 Porter, M.E. (1980) *Competitive Strategy: Techniques for Analyzing Industries and Competitors*. New York: Free Press.
 Porter, M.E. (2008) 'The Five Competitive Forces That Shape Strategy', *Harvard Business Review*, 86(1), pp. 78–93.
 Bain, J.S. (1956) *Barriers to New Competition*. Cambridge, MA: Harvard University Press.

VRIO

SLIBRARY 7 · SHEET 2 / 5

Valuable · Rare · Inimitable · Organised — RBV's litmus test

PROFESSIONAL DEFINITION

VRIO is a four-question test for whether a firm's resources or capabilities yield sustained competitive advantage. Resources are *Valuable* (exploit opportunities or neutralise threats), *Rare* (not held by competitors), *Inimitable* (costly to copy), and *Organised* (the firm captures value from them). Only resources passing all four tests sustain advantage; failing one means parity (V), temporary advantage (V+R), or unrealised potential (V+R+I) (Barney, 1991, 1995).

WHO DEVELOPED IT

Jay B. Barney, Ohio State and Utah professor, in his 1991 *Journal of Management* paper and refined into VRIO in *Looking Inside for Competitive Advantage* (Barney, 1995). Built on Penrose's (1959) and Wernerfelt's (1984) resource-based view.

WHY IT WAS DEVELOPED

Porter's (1980) industry-structure view explained inter-industry profit differences but not why firms in the same industry differed. The resource-based view located advantage inside the firm; VRIO operationalised it as a diagnostic that could distinguish real advantages from claimed ones.

HOW IT IS USED

Inventory key resources and capabilities. Test each against the four VRIO questions. The pattern of yes/no answers identifies which resources are sources of sustained advantage and which are merely operational requirements.

WHEN IT IS USED

Use in capability audits, M&A; target evaluation, strategic-planning resource reviews, and when challenging claimed competitive advantages with rigorous tests.

BY WHOM IT IS USED

Strategy consultants, corporate-strategy teams, organisational-development leads, and MBA students conducting capability analysis. Especially useful in mature industries.

FIGURE 1 · FOUR TESTS

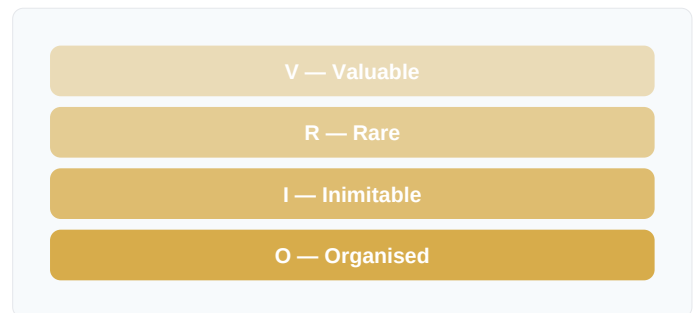


Figure 1. All four tests must pass for sustained advantage. Failing tests yield diminishing levels of advantage.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Penrose (1959) treated firms as bundles of resources and Wernerfelt (1984) coined the resource-based view, Barney's contribution is the four-test operationalisation that makes RBV diagnosable. Building on Selznick's (1957) distinctive-competence concept, VRIO became the dominant teachable RBV tool.

RELATED FRAMEWORKS IN THIS COURSE

Porter's 5 Forces · Slibrary 7

PESTEL · Slibrary 7

SWOT Recast · Slibrary 7

Value Chain · Slibrary 7

SOURCES (HARVARD REFERENCING STYLE)

Barney, J.B. (1991) 'Firm Resources and Sustained Competitive Advantage', *Journal of Management*, 17(1), pp. 99–120.

Barney, J.B. (1995) 'Looking Inside for Competitive Advantage', *Academy of Management Executive*, 9(4), pp. 49–61.

Penrose, E.T. (1959) *The Theory of the Growth of the Firm*. Oxford: Blackwell.

Wernerfelt, B. (1984) 'A Resource-Based View of the Firm', *Strategic Management Journal*, 5(2), pp. 171–180.

PESTEL

SLIBRARY 7 · SHEET 3 / 5

Political · Economic · Social · Technological · Environmental · Legal — macro scan

PROFESSIONAL DEFINITION

PESTEL is a six-factor macro-environmental analysis covering Political, Economic, Social, Technological, Environmental and Legal forces shaping an industry. Originally a four-factor PEST framework (Aguilar, 1967), the model was extended to capture environmental sustainability and regulatory complexity. PESTEL functions as the outer ring of strategic analysis: a checklist for forces beyond Porter's industry-level forces but with material strategic implications (Aguilar, 1967; Johnson, Whittington and Scholes, 2017).

WHO DEVELOPED IT

Francis J. Aguilar, Harvard professor, introduced ETPS (Economic, Technical, Political, Social) in *Scanning the Business Environment* (1967), reordered to PEST and later extended to PESTEL through 1980s and 1990s strategy textbooks, particularly Johnson, Scholes and Whittington's *Exploring Corporate Strategy*.

WHY IT WAS DEVELOPED

Porter's (1980) Five Forces analysed industry structure but assumed the macro context as given. Aguilar argued that environmental scanning was a distinct strategic function, and that managers who missed macro shifts (regulatory, technological, social) were blindsided regardless of industry-level strength.

HOW IT IS USED

Workshop each of the six factors for the focal industry. List 3–5 specific drivers per factor, classify by impact (high/med/low) and certainty, and identify those that demand strategic response in the planning horizon.

WHEN IT IS USED

Use in annual strategy reviews, market-entry assessments, scenario-planning exercises, and as the opening macro-context lens before industry-level analysis.

BY WHOM IT IS USED

Corporate-strategy teams, management consultants, public-affairs and government-relations leads, and MBA students conducting industry analysis.

FIGURE 1 · SIX MACRO FACTORS

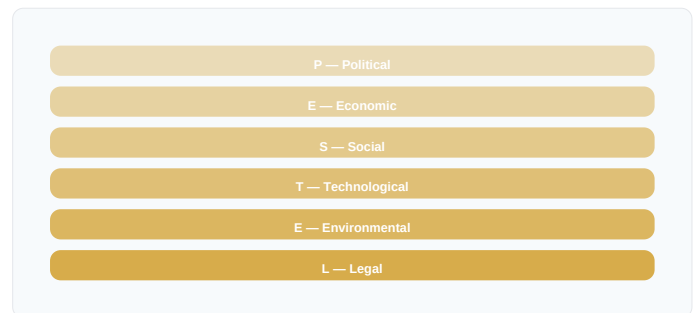


Figure 1. Six factors form the macro ring beyond Porter's industry forces; missed shifts blindsided the strongest competitors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Aguilar's (1967) original ETPS focused on environmental scanning as information work, the PESTEL extension's contribution is the addition of Environmental and Legal — reflecting the rise of sustainability and regulatory complexity. Building on Ansoff's (1965) corporate-strategy tradition, it became the standard outer-ring tool.

RELATED FRAMEWORKS IN THIS COURSE

Porter's 5 Forces · Slibrary 7

VRIO · Slibrary 7

SWOT Recast · Slibrary 7

Value Chain · Slibrary 7

SOURCES (HARVARD REFERENCING STYLE)

- Aguilar, F.J. (1967) *Scanning the Business Environment*. New York: Macmillan.
 Johnson, G., Whittington, R. and Scholes, K. (2017) *Exploring Strategy*. 11th edn. Harlow: Pearson.
 Ansoff, H.I. (1965) *Corporate Strategy*. New York: McGraw-Hill.
 Grant, R.M. (2019) *Contemporary Strategy Analysis*. 10th edn. Hoboken: Wiley.

SWOT Recast

SLIBRARY 7 · SHEET 4 / 5

Treat SWOT as a matching exercise — not a list

PROFESSIONAL DEFINITION

SWOT Recast reframes the classic Strengths-Weaknesses-Opportunities-Threats analysis as a strategic-matching exercise rather than a four-quadrant list. The recast produces TOWS-style action pairs — Strengths matched to Opportunities (offensive moves), Strengths to Threats (defensive moves), Weaknesses to Opportunities (capability builds), Weaknesses to Threats (vulnerabilities to manage). This converts a static checklist into a generative strategy-design tool (Wehrich, 1982; Hill and Westbrook, 1997).

WHO DEVELOPED IT

Albert Humphrey at SRI in the 1960s introduced SWOT as a planning tool. Heinz Wehrich (1982) recast it as the TOWS Matrix to force action generation; Hill and Westbrook (1997) critiqued list-form SWOT and championed the matched form taught today.

WHY IT WAS DEVELOPED

Original SWOT degenerated into long four-bucket lists that produced no decisions. Hill and Westbrook (1997) documented that 92% of corporate SWOTs produced no follow-through actions. Wehrich's TOWS recast forced practitioners to *combine* elements rather than just list them.

HOW IT IS USED

Generate the four lists. Then build a TOWS matrix: each Strength × each Opportunity = an offensive option, and so on through all four pairings. Action options live in the cells, not the lists.

WHEN IT IS USED

Use after macro and industry analysis, in annual strategy retreats, in M&A; integration planning, and whenever a team's existing SWOT has produced lists but no decisions.

BY WHOM IT IS USED

Corporate strategists, executive teams, consultants running structured strategy workshops, and academic researchers studying strategy formulation.

FIGURE 1 · TOWS MATRIX

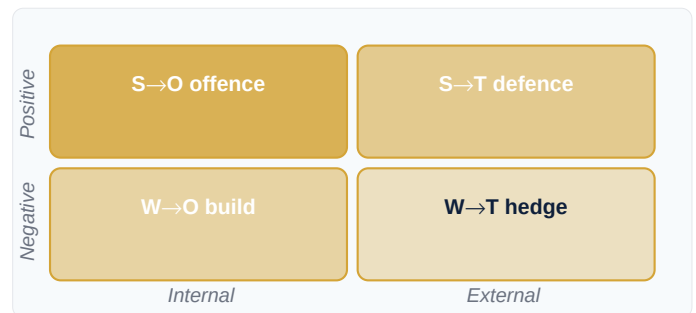


Figure 1. Action options live in the cells, not the lists. Each pairing prescribes a different strategic move.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Humphrey's (1960s) original SWOT was a static four-quadrant list and Andrews's (1971) analytic-strategy framework treated SWOT as one input, Wehrich's contribution is the matched TOWS matrix that generates options from combinations. Hill and Westbrook (1997) provided the empirical critique that legitimised the recast.

RELATED FRAMEWORKS IN THIS COURSE

[Porter's 5 Forces · Slibrary 7](#)
[VRIO · Slibrary 7](#)
[PESTEL · Slibrary 7](#)
[Strategy Canvas · Slibrary 8](#)

SOURCES (HARVARD REFERENCING STYLE)

- Wehrich, H. (1982) 'The TOWS Matrix: A Tool for Situational Analysis', *Long Range Planning*, 15(2), pp. 54–66.
 Hill, T. and Westbrook, R. (1997) 'SWOT Analysis: It's Time for a Product Recall', *Long Range Planning*, 30(1), pp. 46–52.
 Andrews, K.R. (1971) *The Concept of Corporate Strategy*. Homewood: Dow Jones-Irwin.
 Helms, M.M. and Nixon, J. (2010) 'Exploring SWOT Analysis', *Journal of Strategy and Management*, 3(3), pp. 215–251.

Value Chain

SLIBRARY 7 · SHEET 5 / 5

Inbound · Ops · Outbound · Marketing · Service — where margin lives

PROFESSIONAL DEFINITION

Porter's Value Chain decomposes a firm's activities into five primary activities (Inbound Logistics, Operations, Outbound Logistics, Marketing & Sales, Service) and four support activities (Procurement, Technology, HR, Firm Infrastructure). Margin is the difference between the price customers pay and the costs incurred across all activities. The model locates competitive advantage in *activities*, not abstract capabilities — making cost and differentiation analysis activity-specific (Porter, 1985).

WHO DEVELOPED IT

Michael E. Porter, Harvard Business School, in *Competitive Advantage* (1985) — the sequel to *Competitive Strategy* (1980). The Value Chain extended industry-structure analysis to within-firm activity analysis.

WHY IT WAS DEVELOPED

Porter's earlier Five Forces explained inter-firm profitability differences via industry structure; the Value Chain explained intra-industry differences via activity-level choices. Together they gave strategists tools for both outside-in and inside-out analysis.

HOW IT IS USED

Map the firm's activities into the nine Value Chain categories. Identify activities where the firm has cost or differentiation advantage. Strategy targets reinforcing these activity-level advantages and addressing activity-level weaknesses.

WHEN IT IS USED

Use in cost-reduction analyses, in differentiation-strategy design, in outsourcing and make-vs-buy decisions, and when redesigning operating models for digital or platform business shifts.

BY WHOM IT IS USED

Operations strategists, COOs, supply-chain leaders, and consultants conducting cost-structure or differentiation analysis. Increasingly used by digital-transformation teams.

FIGURE 1 · PRIMARY ACTIVITIES



Figure 1. Five primary activities flow toward margin; four support activities span all five. Adapted from Porter (1985).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where input-output analysis (Leontief, 1936) modelled activities at the economy level and McKinsey's Business System (1980s) named primary activities, Porter's contribution was the integrated primary-plus-support taxonomy linked explicitly to margin. Building on Skinner's (1969) manufacturing-strategy work, it gave operations strategic legitimacy.

RELATED FRAMEWORKS IN THIS COURSE

Porter's 5 Forces · Slibrary 7

VRIO · Slibrary 7

BMC 9 Blocks · Slibrary 9

Lean Operations · Slibrary 18

SOURCES (HARVARD REFERENCING STYLE)

Porter, M.E. (1985) *Competitive Advantage: Creating and Sustaining Superior Performance*. New York: Free Press.

Porter, M.E. (1980) *Competitive Strategy*. New York: Free Press.

Skinner, W. (1969) 'Manufacturing — Missing Link in Corporate Strategy', *Harvard Business Review*, 47(3), pp. 136–145.

Hax, A.C. and Wilde, D.L. (2001) *The Delta Project*. New York: Palgrave.

Strategy Canvas

SLIBRARY 8 · SHEET 1 / 5

Your curve vs the industry standard, on factors that matter

PROFESSIONAL DEFINITION

The Strategy Canvas is a graphic plotting buyer-value factors on the horizontal axis and the level offered on each factor on the vertical axis, producing a value curve. Comparing your curve to industry-incumbents reveals strategic profile: identical curves indicate red-ocean parity; divergent curves indicate blue-ocean repositioning. The canvas is the central diagnostic of Kim and Mauborgne's Blue Ocean Strategy, making strategic positioning visually undeniable (Kim and Mauborgne, 2005).

WHO DEVELOPED IT

W. Chan Kim and Renée Mauborgne, INSEAD professors, in *Blue Ocean Strategy* (2005). Built on a decade of empirical research across 30 industries published as articles in *Harvard Business Review* and the *California Management Review*.

WHY IT WAS DEVELOPED

Most strategy frameworks (Porter, 1980) optimised competitive position within an industry. Kim and Mauborgne argued the highest returns came from creating uncontested market space; the Strategy Canvas made the difference between competing and creating visible at a glance.

HOW IT IS USED

Identify the 5–10 factors of competition in the industry. Plot incumbent value curves. Plot your firm's curve. Where your curve is identical to incumbents, you are competing; where it diverges through ERRC moves, you are creating.

WHEN IT IS USED

Use during strategic-positioning reviews, in market-entry planning, when designing differentiation strategies, and when preparing leadership for blue-ocean repositioning bets.

BY WHOM IT IS USED

Corporate strategists, marketing leaders, MBA students, consultants advising on differentiation and innovation strategy, and venture teams building category-creating offers.

FIGURE 1 · VALUE CURVE

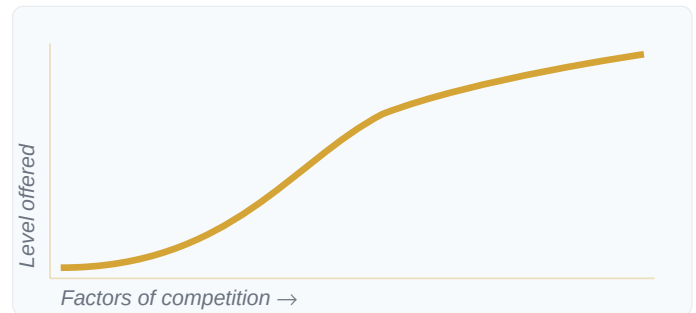


Figure 1. Identical curve = competing. Divergent curve = creating uncontested space.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Porter's (1980) generic strategies forced choice between cost and differentiation, the Strategy Canvas's contribution is showing both as *multi-factor* trade-offs visualised together. Building on Levitt's (1960) marketing-myopia critique, it gave strategists a tool for inventing new value curves rather than benchmarking existing ones.

RELATED FRAMEWORKS IN THIS COURSE

ERRC Grid · Slibrary 8

4 Actions Framework · Slibrary 8

Value Curve · Slibrary 8

6 Paths Framework · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

Kim, W.C. and Mauborgne, R. (2005) *Blue Ocean Strategy: How to Create Uncontested Market Space and Make the Competition Irrelevant*. Boston: Harvard Business School Press.

Kim, W.C. and Mauborgne, R. (2017) *Blue Ocean Shift*. New York: Hachette.

Porter, M.E. (1980) *Competitive Strategy*. New York: Free Press.

Levitt, T. (1960) 'Marketing Myopia', *Harvard Business Review*, 38(4), pp. 45–56.

ERRC Grid

SLIBRARY 8 · SHEET 2 / 5

Eliminate · Reduce · Raise · Create — the four moves that redraw the curve

PROFESSIONAL DEFINITION

The ERRC Grid is the operational tool of Blue Ocean Strategy: four questions that systematically redraw the value curve. *Eliminate* which factors the industry takes for granted; *Reduce* which factors below industry standard; *Raise* which factors above industry standard; *Create* which factors the industry has never offered. The grid forces strategists past incremental positioning into category-creating moves (Kim and Mauborgne, 2005).

WHO DEVELOPED IT

W. Chan Kim and Renée Mauborgne, INSEAD, in *Blue Ocean Strategy* (2005), as the operational complement to the Strategy Canvas. Empirically derived from analysis of category-creating moves across thirty industries over a hundred years.

WHY IT WAS DEVELOPED

Strategy Canvas analysis showed that blue-ocean firms diverged from industry curves through specific patterns: not just adding features (incremental) but deliberately eliminating some, reducing others, raising a few, and creating new categories. ERRC made these moves prescriptive and systematic.

HOW IT IS USED

After mapping incumbent curves on the Strategy Canvas, walk the four ERRC questions for the focal firm. Force yourself to populate every quadrant. The set of E/R/R/C decisions defines the new value curve.

WHEN IT IS USED

Use in strategy-redesign workshops, when launching new categories, in disruption response planning, and when teams default to feature-additive thinking that produces parity products.

BY WHOM IT IS USED

Strategy teams, product-management leadership, innovation portfolio leads, and CEOs steering category-creating bets. Standard MBA Blue Ocean curriculum.

FIGURE 1 · FOUR MOVES

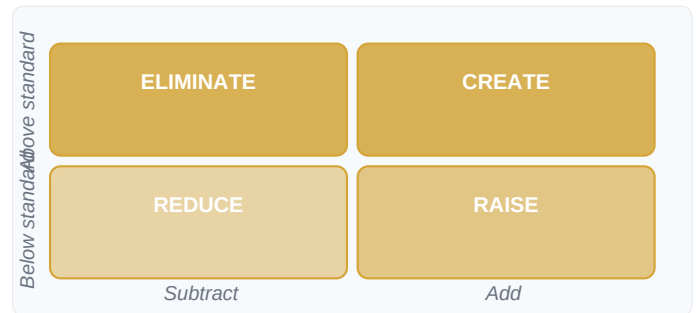


Figure 1. Four moves redraw the value curve; addition alone produces parity. The pattern is the strategy.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Porter's (1980) cost-or-differentiation choice forced a binary trade-off, ERRC's contribution is the four-move grammar that transcends the trade-off. Building on Christensen's (1997) disruption logic — but inverting from technology-led to demand-led — it operationalises new-market creation as a teachable workshop tool.

RELATED FRAMEWORKS IN THIS COURSE

[Strategy Canvas · Slibrary 8](#)
[4 Actions Framework · Slibrary 8](#)
[Value Curve · Slibrary 8](#)
[6 Paths Framework · Slibrary 8](#)

SOURCES (HARVARD REFERENCING STYLE)

Kim, W.C. and Mauborgne, R. (2005) *Blue Ocean Strategy*. Boston: Harvard Business School Press.

Kim, W.C. and Mauborgne, R. (2004) 'Blue Ocean Strategy', *Harvard Business Review*, 82(10), pp. 76–84.

Kim, W.C. and Mauborgne, R. (2017) *Blue Ocean Shift*. New York: Hachette.

Christensen, C.M. (1997) *The Innovator's Dilemma*. Boston: Harvard Business School Press.

4 Actions Framework

SLIBRARY 8 · SHEET 3 / 5

Break the value-cost trade-off, don't balance it

PROFESSIONAL DEFINITION

The Four Actions Framework asks four questions in parallel to break the value-cost trade-off: *What factors should be eliminated that the industry has long competed on? Reduced well below industry standard? Raised well above industry standard? Created that the industry has never offered?* Eliminating and reducing reduce cost; raising and creating raise differentiation. Done together, both happen — the trade-off is broken (Kim and Mauborgne, 2004, 2005).

WHO DEVELOPED IT

W. Chan Kim and Renée Mauborgne, INSEAD, in their 2004 *Harvard Business Review* article and 2005 book *Blue Ocean Strategy*. The framework operationalises ERRC as a strategic-discipline question set.

WHY IT WAS DEVELOPED

Porter's (1980) generic-strategies argument insisted on choosing between cost leadership and differentiation. Kim and Mauborgne argued — backed by empirical data on category-creating firms — that the trade-off was self-imposed, and the four-action discipline broke it.

HOW IT IS USED

For each industry factor, the team explicitly answers all four questions. Eliminations and reductions cut costs; raises and creations raise value. The combined output is a new offer that achieves both lower cost and higher differentiation.

WHEN IT IS USED

Use during business-model redesign, in cost-and-differentiation strategy workshops, when launching new categories, and when teams accept the cost-vs-differentiation trade-off too quickly.

BY WHOM IT IS USED

Strategy and product teams, innovation portfolio managers, MBA students, and consultants challenging clients' default trade-offs.

FIGURE 1 · FOUR ACTIONS

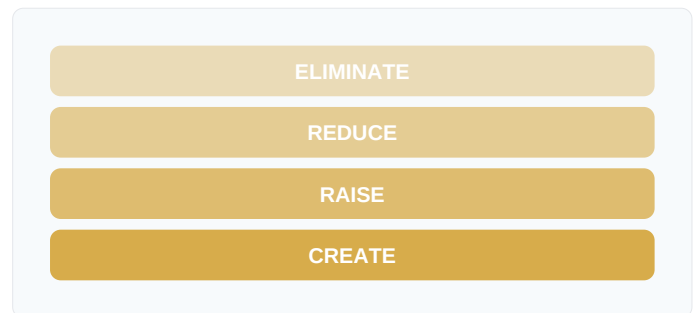


Figure 1. Eliminate + Reduce cut cost; Raise + Create raise differentiation. Done together, the trade-off breaks.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Porter's (1985) generic strategies framed cost vs differentiation as either-or, the Four Actions' contribution is the simultaneous-pursuit logic. Building on Hamel and Prahalad's (1994) strategic-stretch tradition, it makes the not-trade-off practically achievable through structured questioning.

RELATED FRAMEWORKS IN THIS COURSE

[ERRC Grid · Slibrary 8](#)
[Strategy Canvas · Slibrary 8](#)
[Value Curve · Slibrary 8](#)
[6 Paths Framework · Slibrary 8](#)

SOURCES (HARVARD REFERENCING STYLE)

- Kim, W.C. and Mauborgne, R. (2004) 'Blue Ocean Strategy', *Harvard Business Review*, 82(10), pp. 76–84.
 Kim, W.C. and Mauborgne, R. (2005) *Blue Ocean Strategy*. Boston: Harvard Business School Press.
 Hamel, G. and Prahalad, C.K. (1994) *Competing for the Future*. Boston: Harvard Business School Press.
 Porter, M.E. (1985) *Competitive Advantage*. New York: Free Press.

Value Curve

SLIBRARY 8 · SHEET 4 / 5

If yours is identical to rivals', you are in red ocean

PROFESSIONAL DEFINITION

The Value Curve is the line plotted on the Strategy Canvas representing how a firm performs on each factor of competition. Identical curves across firms in an industry are the diagnostic signature of a red ocean — competition compresses returns toward parity. Curves that diverge through a coherent ERRC pattern are the signature of a blue ocean — uncontested market space the firm has actively created (Kim and Mauborgne, 2005).

WHO DEVELOPED IT

W. Chan Kim and Renée Mauborgne, INSEAD, as part of the Blue Ocean Strategy framework (Kim and Mauborgne, 2005). Conceptual roots in benchmarking literature (Camp, 1989) and value-engineering visualisations.

WHY IT WAS DEVELOPED

Strategists discussed positioning abstractly; competitors all claimed to be "differentiated". The Value Curve made the claim falsifiable — if curves overlap, the differentiation claim is empirically wrong, regardless of marketing rhetoric.

FIGURE 1 · DIVERGING CURVES

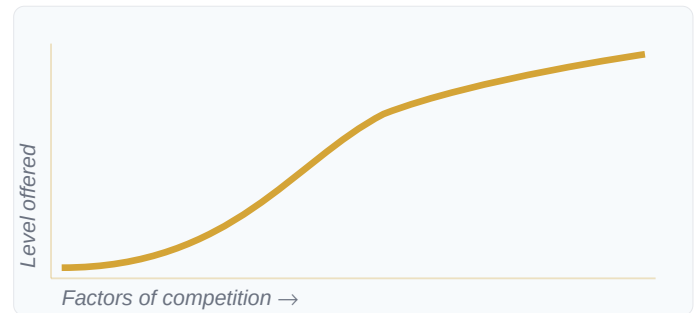


Figure 1. Overlapping curves are the diagnostic signature of red-ocean competition.

HOW IT IS USED

Plot each firm's level on each factor of competition (1–10 scale). Curves clustered together = red ocean. Divergent curve with coherent ERRC pattern = blue-ocean candidate.

WHEN IT IS USED

Use in strategy reviews to test claimed differentiation, in board-level positioning discussions, and as the validation step after ERRC and Four Actions analysis.

BY WHOM IT IS USED

Strategy teams, marketing leadership, board members assessing strategic positioning, and consultants challenging client's differentiation narratives with empirical visualisation.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where benchmarking (Camp, 1989) compared firms on operational metrics, the Value Curve's contribution is comparing them on *buyer-value factors* — the elements that drive purchase. Building on Treacy and Wiersema's (1995) value-disciplines tradition, it makes positioning visually testable.

RELATED FRAMEWORKS IN THIS COURSE

Strategy Canvas · Slibrary 8

ERRC Grid · Slibrary 8

4 Actions Framework · Slibrary 8

6 Paths Framework · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

Kim, W.C. and Mauborgne, R. (2005) *Blue Ocean Strategy*. Boston: Harvard Business School Press.
 Camp, R.C. (1989) *Benchmarking: The Search for Industry Best Practices*. Milwaukee: Quality Press.
 Treacy, M. and Wiersema, F. (1995) *The Discipline of Market Leaders*. Reading, MA: Addison-Wesley.
 Kim, W.C. and Mauborgne, R. (2017) *Blue Ocean Shift*. New York: Hachette.

6 Paths Framework

SLIBRARY 8 · SHEET 5 / 5

Six paths to reconstruct market boundaries

PROFESSIONAL DEFINITION

Kim and Mauborgne's Six Paths Framework directs strategists to look *across* conventional market boundaries: across alternative industries, across strategic groups within an industry, across the chain of buyers, across complementary product offerings, across functional and emotional appeals, and across time. Each path systematically redraws the boundaries of the relevant market — the move that creates uncontested space (Kim and Mauborgne, 2005).

WHO DEVELOPED IT

W. Chan Kim and Renée Mauborgne, INSEAD, in *Blue Ocean Strategy* (2005), derived from empirical analysis of category-creating moves across multiple industries. Each path is illustrated with case examples (Cirque du Soleil, NetJets, etc.).

WHY IT WAS DEVELOPED

ERRC analysis tells strategists *what* to change but not *where* to look. The Six Paths frame is a search heuristic for *where* to find redrawable boundaries — preventing teams from staying within the existing industry frame they want to disrupt.

HOW IT IS USED

Walk each of the six paths systematically. For each, ask: how does redrawing this boundary create new buyer value? Document candidate new value curves. Combine the most promising paths into a coherent strategic-positioning move.

WHEN IT IS USED

Use in early-stage strategic-positioning workshops, when new-market entry is on the table, in disruption-response planning, and when teams default to incremental within-industry thinking.

BY WHOM IT IS USED

Strategy teams, corporate-development leaders, innovation portfolio managers, and ventures designing category-creating offers. Standard MBA Blue Ocean curriculum.

FIGURE 1 · SIX PATHS



Figure 1. Six search directions for redrawing market boundaries. Each path is a generative question, not a checklist.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Levitt's (1960) marketing-myopia critique warned firms not to define markets too narrowly, the Six Paths' contribution is six specific directions in which to broaden definition. Building on Hamel and Prahalad's (1994) strategic-stretch tradition, it operationalises boundary-redefinition as a workshop discipline.

RELATED FRAMEWORKS IN THIS COURSE

[Strategy Canvas · Slibrary 8](#)
[ERRC Grid · Slibrary 8](#)
[4 Actions Framework · Slibrary 8](#)
[Value Curve · Slibrary 8](#)

SOURCES (HARVARD REFERENCING STYLE)

Kim, W.C. and Mauborgne, R. (2005) *Blue Ocean Strategy*. Boston: Harvard Business School Press.

Kim, W.C. and Mauborgne, R. (1999) 'Creating New Market Space', *Harvard Business Review*, 77(1), pp. 83–93.

Levitt, T. (1960) 'Marketing Myopia', *Harvard Business Review*, 38(4), pp. 45–56.

Hamel, G. and Prahalad, C.K. (1994) *Competing for the Future*. Boston: Harvard Business School Press.

BMC 9 Blocks

SLIBRARY 9 · SHEET 1 / 5

Customers · Value · Channels · Relationships · Revenue · Resources · Activities · Partners · Costs

PROFESSIONAL DEFINITION

The Business Model Canvas is a single-page visual template organising a firm's logic across nine blocks: Customer Segments, Value Propositions, Channels, Customer Relationships, Revenue Streams, Key Resources, Key Activities, Key Partnerships, and Cost Structure. The canvas externalises the entire business model, making interdependencies visible and inviting structured iteration. It became the dominant business-model-design tool of the 2010s (Osterwalder and Pigneur, 2010).

WHO DEVELOPED IT

Alexander Osterwalder and Yves Pigneur, in *Business Model Generation* (2010), drawing on Osterwalder's (2004) doctoral research at the University of Lausanne. Co-created with 470 practitioners from 45 countries via the Strategyzer community.

WHY IT WAS DEVELOPED

Business plans were 30-page documents nobody read; mental models of business logic varied across team members and could not be debated explicitly. The BMC compressed the entire model onto one page, made it shared and inspectable, and lowered the cost of iteration to days.

FIGURE 1 · NINE BLOCKS

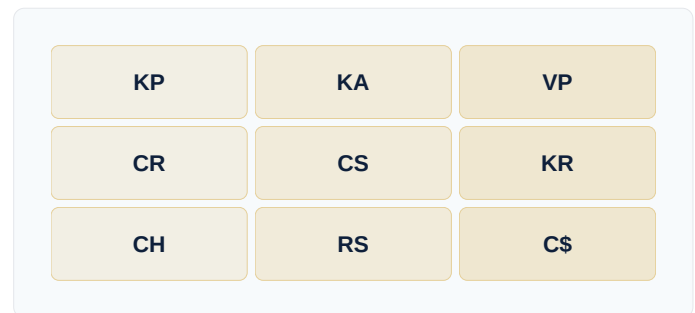


Figure 1. Nine blocks, one page; the canvas externalises the model and lowers the cost of iteration. Adapted from Osterwalder & Pigneur (2010).

HOW IT IS USED

Populate all nine blocks from current understanding. Test interdependencies (does each block coherently support the others?). Iterate the canvas as evidence arrives. The artefact is alive, not archival.

WHEN IT IS USED

Use in venture-design workshops, in strategic-pivot reviews, in M&A; integration planning, in product-line strategy, and as the foundation of MBA business-model curricula.

BY WHOM IT IS USED

Founders, product managers, strategy consultants, MBA students, and corporate-innovation teams designing or pivoting business models. Increasingly used by NGOs and public-sector reformers.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Drucker's (1954) theory-of-the-business and Magretta's (2002) business-model-as-story articulated the concept, Osterwalder's contribution is the visual-template form that made it workshop-actionable. Building on Markides's (1999) strategic-positioning tradition, it became the canonical innovation-design artefact.

RELATED FRAMEWORKS IN THIS COURSE

Value Proposition Canvas · Slibrary 9

Lean Canvas (9 Blocks) · Slibrary 14

BMC Patterns · Slibrary 9

DVF Framework · Slibrary 1

SOURCES (HARVARD REFERENCING STYLE)

Osterwalder, A. and Pigneur, Y. (2010) *Business Model Generation*. Hoboken: Wiley.

Osterwalder, A. (2004) *The Business Model Ontology — A Proposition in a Design Science Approach*. PhD thesis. University of Lausanne.

Magretta, J. (2002) 'Why Business Models Matter', *Harvard Business Review*, 80(5), pp. 86–92.

Drucker, P.F. (1994) 'The Theory of the Business', *Harvard Business Review*, 72(5), pp. 95–104.

Value Proposition Canvas

SLIBRARY 9 · SHEET 2 / 5

Jobs · Pains · Gains × Pain Relievers · Gain Creators · Products

PROFESSIONAL DEFINITION

The Value Proposition Canvas zooms into two of the BMC's nine blocks — Customer Segment and Value Proposition — and tests their fit explicitly. The customer side maps the segment's *jobs, pains and gains*; the offer side maps the firm's *products, pain relievers and gain creators*. The canvas's central diagnostic is fit: does each pain reliever actually address a stated pain? Does each gain creator deliver a stated gain? Misalignments are the most actionable findings (Osterwalder et al., 2014).

WHO DEVELOPED IT

Alexander Osterwalder, Yves Pigneur, Greg Bernarda and Alan Smith in *Value Proposition Design* (2014), the sequel to *Business Model Generation*. Built on Christensen's (2003) Jobs-to-be-Done lens and four years of Strategyzer community testing.

WHY IT WAS DEVELOPED

BMC users routinely populated the Customer Segment and Value Proposition blocks with vague labels, then assumed they fit. Osterwalder built the VPC as a fit-test that exposes whether each offer element actually addresses a customer reality, replacing assumed fit with auditable mapping.

HOW IT IS USED

Populate the customer-side circle (jobs, pains, gains) from research, not assumption. Populate the offer-side square (products, pain relievers, gain creators). Connect each offer element to a specific customer element. Unmatched offer elements signal waste; unmatched customer elements signal opportunity.

WHEN IT IS USED

Use after BMC drafting, in product-discovery research, in B2B sales-account planning, and when investors challenge the differentiation of a value proposition.

BY WHOM IT IS USED

Product managers, strategy consultants, B2B account managers, MBA students, and accelerator teams testing problem-solution fit before investing in build.

FIGURE 1 · FIT DIAGNOSTIC

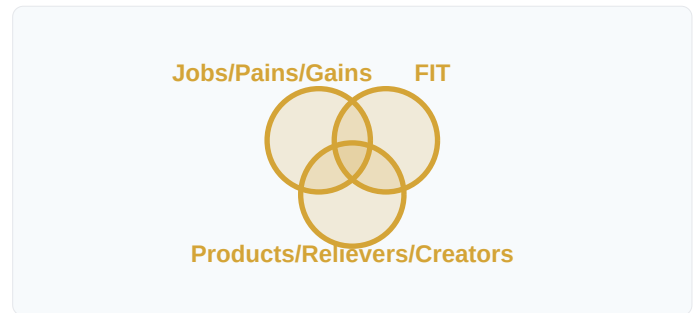


Figure 1. Fit is the auditable connection between each customer element and each offer element. Adapted from Osterwalder et al. (2014).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Christensen's (2003) JTBD framed the customer side and Kim and Mauborgne's (2005) Strategy Canvas mapped factor-level differentiation, the VPC's contribution is the explicit element-by-element fit test. Building on Kano's (1984) needs taxonomy, it makes fit auditable rather than assumed.

RELATED FRAMEWORKS IN THIS COURSE

BMC 9 Blocks · Slibrary 9

JTBD Canvas · Slibrary 13

Lean Canvas (9 Blocks) · Slibrary 14

Problem-Solution Fit · Slibrary 14

SOURCES (HARVARD REFERENCING STYLE)

Osterwalder, A., Pigneur, Y., Bernarda, G. and Smith, A. (2014) *Value Proposition Design*. Hoboken: Wiley.

Osterwalder, A. and Pigneur, Y. (2010) *Business Model Generation*. Hoboken: Wiley.

Christensen, C.M., Cook, S. and Hall, T. (2005) 'Marketing Malpractice: The Cause and the Cure', *Harvard Business Review*, 83(12), pp. 74–83.

Kano, N. (1984) 'Attractive Quality and Must-Be Quality', *Journal of the Japanese Society for Quality Control*, 14(2), pp. 39–48.

BMC Patterns

SLIBRARY 9 · SHEET 3 / 5

Long Tail · Multi-Sided · Free · Unbundled · Freemium

PROFESSIONAL DEFINITION

Osterwalder and Pigneur's BMC Patterns are five recurring architectures that re-shape the standard nine-block canvas: *Long Tail* (selling small volumes of many niche products), *Multi-Sided Platforms* (creating value by enabling exchange between two or more interdependent groups), *Free* (one segment subsidises another), *Unbundled* (separating customer-relationship, product-innovation and infrastructure businesses), and *Freemium* (free basic + paid premium). Each pattern is a strategic template (Osterwalder and Pigneur, 2010).

WHO DEVELOPED IT

Alexander Osterwalder and Yves Pigneur in *Business Model Generation* (2010), drawing on industry analyses by Anderson (Long Tail, 2006), Hagel & Singer (Unbundled, 1999), Anderson again (Free, 2009), Eisenmann et al. (Multi-Sided, 2006), and Anderson & Kushwaha (Freemium, 2009).

WHY IT WAS DEVELOPED

Founders designing canvases from scratch often missed proven structural moves. Naming the recurring patterns gave practitioners reusable templates to combine and adapt — accelerating design and avoiding architecture mistakes that have already been solved in other contexts.

HOW IT IS USED

After drafting an initial BMC, audit it against the five patterns. Could the model be improved by introducing Free, Long Tail, or Multi-Sided dynamics? Apply the pattern by adjusting relevant blocks; test consequences across all nine.

WHEN IT IS USED

Use in early business-model design, in strategic-renewal workshops, in venture-pivot decisions, and as a teaching tool for MBA students learning the BMC.

BY WHOM IT IS USED

Founders, business-model consultants, MBA students, and strategy researchers studying recurring architectures across industries.

FIGURE 1 · FIVE PATTERNS

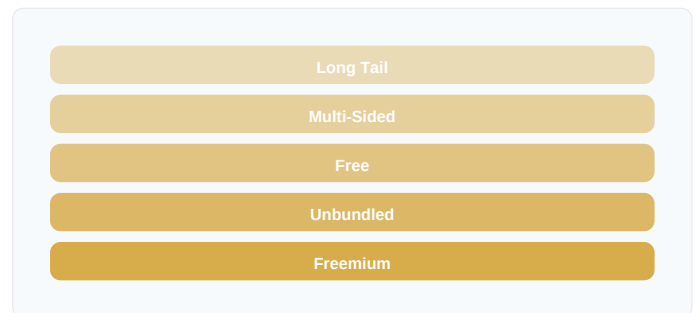


Figure 1. Five reusable templates for re-shaping the nine-block canvas. Each pattern is a structural move.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Anderson (2006, 2009), Eisenmann et al. (2006) and Hagel & Singer (1999) each identified single patterns, Osterwalder's contribution is collecting them as *combinable templates* within one canvas grammar. Building on architectural-pattern languages (Alexander, 1977), it gave business-model design a shared vocabulary.

RELATED FRAMEWORKS IN THIS COURSE

BMC 9 Blocks · Slibrary 9

Platform Business Model · Slibrary 9

Revenue Model Typology · Slibrary 9

Lean Canvas (9 Blocks) · Slibrary 14

SOURCES (HARVARD REFERENCING STYLE)

Osterwalder, A. and Pigneur, Y. (2010) *Business Model Generation*. Hoboken: Wiley.

Anderson, C. (2006) *The Long Tail: Why the Future of Business is Selling Less of More*. New York: Hyperion.

Eisenmann, T., Parker, G. and Van Alstyne, M. (2006) 'Strategies for Two-Sided Markets', *Harvard Business Review*, 84(10), pp. 92–101.

Anderson, C. (2009) *Free: The Future of a Radical Price*. New York: Hyperion.

Platform Business Model

SLIBRARY 9 · SHEET 4 / 5

Producers × Consumers × Platform — three-sided dynamics

PROFESSIONAL DEFINITION

The Platform Business Model is an architecture in which the firm creates value by enabling exchange between two or more interdependent participant groups (typically producers and consumers) on a shared infrastructure. Network effects — each new participant raises the value for all others — drive platform growth and create winner-takes-most dynamics. Platform economics differ fundamentally from pipeline economics, requiring different metrics, governance and growth playbooks (Parker, Van Alstyne and Choudary, 2016).

WHO DEVELOPED IT

Geoffrey Parker, Marshall Van Alstyne and Sangeet Paul Choudary in *Platform Revolution* (2016), synthesising two decades of academic research on two-sided markets (Rochet and Tirole, 2003; Eisenmann et al., 2006) into management practice.

WHY IT WAS DEVELOPED

Pipeline-business strategy textbooks were inadequate for Uber, Airbnb, Amazon Marketplace and similar firms. Parker et al. translated the academic literature on two-sided markets into a usable strategy lens for the platform era — explaining why platforms beat pipelines in many sectors.

HOW IT IS USED

Identify the producer and consumer sides. Design tools for matching, governance and trust. Resolve the chicken-and-egg cold-start problem with a side-subsidisation strategy. Engineer network effects to compound; engineer governance to prevent disintermediation.

WHEN IT IS USED

Use when designing or evaluating platform businesses, in market-entry assessments where platforms compete with pipelines, and in M&A; due-diligence on platform-economy targets.

BY WHOM IT IS USED

Founders building marketplaces, corporate-strategy teams considering platform pivots, investors in platform companies, and antitrust regulators analysing platform-power concerns.

FIGURE 1 · THREE-SIDED ARCHITECTURE

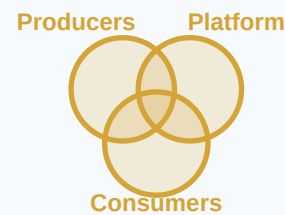


Figure 1. The platform creates value by enabling exchange between sides; network effects compound the more sides participate.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Rochet and Tirole's (2003) two-sided-market theory was academic and Eisenmann et al.'s (2006) HBR article was an executive primer, Parker et al.'s contribution is a comprehensive management-practice synthesis. Building on Katz and Shapiro's (1985) network-effects economics, it became the standard platform-strategy reference.

RELATED FRAMEWORKS IN THIS COURSE

BMC Patterns · Slibrary 9

BMC 9 Blocks · Slibrary 9

Network Effects · Slibrary 15

Revenue Model Typology · Slibrary 9

SOURCES (HARVARD REFERENCING STYLE)

Parker, G.G., Van Alstyne, M.W. and Choudary, S.P. (2016) *Platform Revolution*. New York: W.W. Norton.

Rochet, J.-C. and Tirole, J. (2003) 'Platform Competition in Two-Sided Markets', *Journal of the European Economic Association*, 1(4), pp. 990–1029.

Eisenmann, T., Parker, G. and Van Alstyne, M. (2006) 'Strategies for Two-Sided Markets', *Harvard Business Review*, 84(10), pp. 92–101.

Katz, M.L. and Shapiro, C. (1985) 'Network Externalities, Competition, and Compatibility', *American Economic Review*, 75(3), pp. 424–440.

Revenue Model Typology

SLIBRARY 9 · SHEET 5 / 5

Asset · Usage · Subscription · Licensing · Commission — how you get paid

PROFESSIONAL DEFINITION

Revenue Model Typology classifies how a firm captures value into recurring archetypes: *asset sale* (one-time payment for ownership), *usage fee* (pay per consumption), *subscription* (recurring access fee), *licensing* (paying to use IP), and *brokerage/commission* (a cut of value enabled). Each archetype has different economics — predictable revenue, customer-acquisition cost, retention dynamics — making revenue-model choice as strategic as value-proposition choice (Osterwalder and Pigneur, 2010; Tzuo, 2018).

WHO DEVELOPED IT

Codified in Osterwalder and Pigneur's *Business Model Generation* (2010) Revenue Streams block; subscription economics specifically articulated by Tien Tzuo (Zuora founder) in *Subscribed* (2018), which charts the shift from ownership to recurring-access models.

WHY IT WAS DEVELOPED

Founders treated revenue model as a derivative of product, missing that revenue model itself was a strategic variable. The typology made revenue-model design a deliberate choice — the same product under different models has different unit economics, growth trajectories and customer relationships.

HOW IT IS USED

Inventory candidate revenue models. Test each against the customer's willingness to pay, the firm's cash-flow needs, and the competitive landscape. Pick one (or a stacked combination) that aligns with growth strategy.

WHEN IT IS USED

Use in business-model-design workshops, in pricing-strategy redesign, when transitioning from product to service or service to platform, and in venture pricing-page decisions.

BY WHOM IT IS USED

Founders, pricing strategists, CFOs, and product-marketing teams. Particularly relevant in B2B SaaS, media, marketplaces and IoT product-as-a-service transitions.

FIGURE 1 · FIVE REVENUE ARCHETYPES

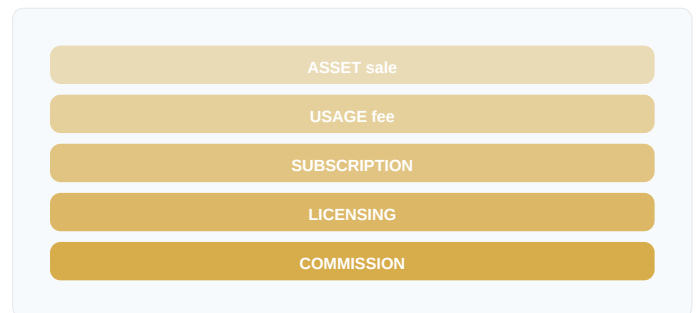


Figure 1. Each archetype has distinct economics; revenue-model choice is as strategic as value-proposition choice.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Where Anderson's (2009) *Free* and Anderson and Kushwaha's (2009) *Freemium* identified single revenue innovations, Osterwalder's contribution is the comprehensive typology that lets practitioners *choose* rather than default. Building on Treacy and Wiersema's (1995) value-discipline tradition, it made revenue model an explicit strategic decision.

RELATED FRAMEWORKS IN THIS COURSE

BMC 9 Blocks · Slibrary 9

BMC Patterns · Slibrary 9

Platform Business Model · Slibrary 9

Lean Canvas (9 Blocks) · Slibrary 14

SOURCES (HARVARD REFERENCING STYLE)

Osterwalder, A. and Pigneur, Y. (2010) *Business Model Generation*. Hoboken: Wiley.

Tzuo, T. (2018) *Subscribed: Why the Subscription Model Will Be Your Company's Future*. New York: Portfolio.

Anderson, C. (2009) *Free: The Future of a Radical Price*. New York: Hyperion.

Treacy, M. and Wiersema, F. (1995) *The Discipline of Market Leaders*. Reading, MA: Addison-Wesley.